

DEPARTMENT OF VETERANS AFFAIRS

**Justification and Approval (J&A) For
Other Than Full and Open Competition (>SAT)**

Acquisition Plan Action ID: 36C261-25-AP-2660

JOFOC tracker number is FY24-NCO21-3160

1. **Contracting Activity:** Department of Veterans Affairs, Network Contract Office (NCO) 21, VA Palo Alto Health Care System (VAPAHCS), 3801 Miranda Avenue, Palo Alto, CA, 94304.

PR 640-25-2-5258-0009.

2. **Nature and/or Description of the Action Being Processed:** This contract action supports a modification that has been determined to be out-of-scope. Contract number 36C26120D0089, Order Number 36C26121N0928. The contractor is Sergeants Mechanical Systems Inc.

3. **Description of Supplies/Services Required to Meet the Agency's Needs:**
This is a construction project to update mechanical systems at the VAPAHCS' main campus in Palo Alto, California. The project requires connecting Building 520 to the existing district chilled water and steam systems. It also requires excavation to extend the existing utility trench from Building 500 to Building 520, demolition of existing mechanical systems, and replacement with new mechanical systems. The modification would include Commissioning by a Licensed Commissioning Agent (CxA) as well as Siemens Controls Technicians. Siemens will provide labor for zone commissioning of Building 520 at the VAPAHCS, including the following: calibrate room temperature sensors, correct mismatches on heating /cooling minimum flow setpoints, replace VAV Air Flow Sensors with an Air Velocity Averaging Sensor Kit, investigate external heat source increasing zone temperature and provide assessment, provide final ZoneRX report for commissioning checkout documentation, and provide sixteen (16) hours of commissioning support. The Prime contractor will coordinate and superintend. Commissioning includes functional testing of the new and existing Heating, Ventilation and Air Conditioning (HVAC) equipment and the testing and balancing of the existing HVAC system. The estimated completion date for these changes is approximately two years or March 31, 2027. The estimated value of the proposed action is [REDACTED]

4. **Statutory Authority Permitting Other than Full and Open Competition:**

41 USC §3304(a)(5), 38 U.S. Code § 8127(c), as implemented by FAR 6.302-5 Authorized or Required by Statute. COs may use the non-competitive (sole source) procedures authorized in VAAR 819.7007 or 819.7008 up to \$5,000,000. The specific VAAR clause used below:

(X) 819.7007 Sole source awards to a verified service-disabled veteran-owned small business.

5. Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):

The authority to sole-source to Sergeants Mechanical Systems Inc. is based on 38 U.S.C 8127(c). Furthermore, I affirm they have been determined to be a responsible source with respect to performance. They have also been verified in the Dynamic Small Business Search (dsbs.sba.gov) as a certified SDVOSB firm and eligible for this out-of-scope modification. This requirement does not exceed five (5) million dollars.

Modifying the current contract to add commissioning is crucial. Not all components will be installed at the same time. Attempting to coordinate commissioning with a new prime contractor would be too lengthy and complex due to needing simultaneous coordination between installation and commissioning of the various components. Therefore, it is in the best interest of the government to have the current contractor and their subcontractors perform the construction, installation, and commissioning and for it to be within the current contract.

6. Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable: This action will be publicized as required by FAR 5.2. This action will be an out-of-scope modification to an existing contract. Because of the reasons stated in section five (5) no additional sources other than the current contractor were contacted.

7. Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable: The Contracting Officer will determine that the price is fair and reasonable based on a comparison with the Independent Government Cost Estimate (IGCE) per FAR 15.404-1(b)(2)(v). The IGCE was developed by the Contracting Officer's Representative on March 13, 2025, is considered current, and was validated by the contracting officer.

8. Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted: As described in Section 6 above, market research was not conducted as this is an out-of-scope modification for an existing contract. Market research was performed in sba.gov and responsibility was determined as noted above.

9. Any Other Facts Supporting the Use of Other than Full and Open Competition:
There are no further supporting facts.

10. Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:
Sergeants Mechanical Systems Inc has expressed interest.

11. A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required.: Any future commissioning requirements will be competed at that time to the maximum extent practicable.

12. Requirements Certification: I certify that the requirement outlined in this justification is a Bona Fide Need of the VAPAHCS and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

VALENTINO GUTIERREZ

Digitally signed by VALENTINO GUTIERREZ
Date: 2025.04.18 14:36:27 -07'00'

Name: Valentino Gutierrez

Date

Title: Acting Chief, Project Development Section

Facility: VAPAHCS

13. Approvals in accordance with the VHAPM Part 806.3 OFOC SOP:

a. **Contracting Officer Certification (required):** I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

JOSE
HERNANDEZ

Digitally signed by JOSE
HERNANDEZ
Date: 2025.04.18
14:59:58 -07'00'

4/18/25

Name: Jose A. Hernandez

Date

Title: Contracting Officer

Facility: NCO 21

Request for Sole Source Justification Format >SAT

- b. **One Level Above the Contracting Officer (Required over SAT but not exceeding \$750K):** I certify the justification meets requirements for other than full and open competition.

NICHOLAS
KLUCH

Digitally signed by
NICHOLAS KLUCH
Date: 2025.04.21
11:01:23 -07'00'

Name: Nicholas J. Kluch
Title: Director of Contracting
Facility: NCO 21

Date

- c. **VHA RPO HCA Review and Approval:** I have reviewed the foregoing justification and find it to be complete and accurate to the best of my knowledge and belief and for other than full and open competition.

CURTIS
JORDAN

Digitally signed by
CURTIS JORDAN
Date: 2025.04.24
13:08:26 -06'00'

Name: Curtis M. Jordan
Executive Director, Regional Procurement Office West
Head of Contracting Activity (HCA)

Date